IN THE SUPREME COURT OF APPEALS OF WEST VIRGINIA

No. 22-677

SAVANNAH 605, LLC,
KINZER BUSINESS REALTY, LTD.
and FULTON T. McELROY
IRREVOCABLE TRUST,

Plaintiffs,

v.

EAST EQUIPMENT CO., LLC,
and GARY RASH,

Defendants.

Mingo County Circuit Court
CIVIL ACTION NO.: 22-C-37
Honorable Miki Thompson

PLAINTIFFS SAVANNAH 605, LLC, KINZER BUSINESS REALTY, LTD. AND FULTON T. MCELROY IRREVOCABLE TRUST'S MOTION TO REFER CASE TO THE BUSINSS COURT DIVISION

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NOW COMES, Plaintiffs Savannah 605, LLC, Kinzer Business Realty, Ltd. and Fulton T. McElroy Irrevocable Trust (collectively "Plaintiffs"), by and through their undersigned counsel, Howard M. Persinger, III, and Persinger & Persinger, L.C., and pursuant to Rule 29.06 of the West Virginia Trial Court Rules, respectfully request that this civil action be referred to the Business Court Division. In support of this Motion, Plaintiffs state as follows:

FACTUAL BACKGROUND

1. This litigation arises out of the contractual relationships between Plaintiffs, as lessors, and East Equipment Co., LLC, as lessee, and Gary Rash, as guarantor. The relationships of the

parties are governed by a Lease effective June 1, 2016, between Savannah 605, LLC, as Landlord, and East Equipment Co., LLC, as Tenant, later amended to add Kinzer Business Realty, Ltd. and Fulton T. McElroy Irrevocable Trust as Landlords.

2. The lease relates to a parcel of property located on Route 52 South, Williamson, Mingo County, West Virginia, which was to be used by defendants as a mine equipment repair shop.

3. After receiving leave of the Court by Order dated July 25, 2022, Plaintiffs filed their Amended Complaint in the Circuit Court of Mingo County, West Virginia, asserting claims for breach of the lease and guarantee against defendant. See Amended Complaint, attached hereto as Exhibit A. Specifically, Plaintiffs allege that defendants have breached the Lease by (1) failing to make several rental payments in 2019, and then ceasing payment of monthly rental payments altogether in 2020 (see Amended Complaint ¶XVII); (2) utilizing the property for storing equipment, supplies, waste, trash and other items related to its operation; (see Amended Complaint ¶XVIII); and (3) causing damage to the Premises (see Amended Complaint ¶XX). The Amended Complaint alleges that Defendants ceased paying any rent in January 2020, continue to use the property to store mining equipment, and other items and have caused damage to the property for which they are liable for cleanup costs. Plaintiffs have also alleged that defendant Gary Rash is liable for the obligations of defendant East Equipment Co., LLC, under the terms of a Guaranty Agreement entered into on or about October 3, 2015. (See Amended Complaint at ¶XV.)

4. Defendants filed their Answer to Amended Complaint on August 3, 2022. See Defendants' Answer to Amended Complaint, attached hereto as Exhibit B. In their Answer, Defendants allege that Plaintiffs have barred Defendants access to the leased property such that they may remove valuable property owned by Defendants including an IMCO miner, a

prefabricated building and electric poles, wires and equipment. (See Answer to Amended Complaint at ¶18). They further assert unjust enrichment as an affirmative defense. (See Answer to Amended Complaint at ¶43.)

5. Resolving Plaintiffs' claims will likely require interpretation of the Lease and Guaranty as well as an understanding of the specialized and technical uses for which the leased property was leased. While the Mingo County Circuit Court is certainly capable of handling this dispute, this matter presents precisely the type of commercial dispute particularly suited for the Business Court Division, as contemplated by West Virginia Trial Court Rule 29.

LEGAL STANDARD

6. The West Virginia Business Court Division has jurisdiction to efficiently manage and resolve "litigation involving commercial issues and disputes" between parties engaged in business transactions. W.Va.T.C.R. 29.01.

7. Specifically, the Business Court Division, upon proper referral and transfer by the Chief Justice of the Supreme Court of Appeals, may properly preside over and adjudicate "Business Litigation," which is defined as:

> [O]ne or more pending actions in circuit court in which:
>
> 1. the principal claim or claims involve matters of significance to the transactions, operations, or governance between business entities; and
>
> 2. the dispute presents commercial and/or technology issues in which specialized treatment is likely to improve the expectation of a fair and reasonable resolution of the controversy because of the need for specialized knowledge or expertise in the subject matter or familiarity with some specific law or legal principles that may be applicable; and
>
> 3. the principal claim or claims do not involve: consumer litigation, such as products liability, personal injury, wrongful death, consumer class actions, actions arising under the West Virginia Consumer Credit Act and consumer insurance coverage disputes; non-commercial insurance disputes relating to bad faith, or disputed in which an individual may be covered under a commercial policy, but is involved in the dispute in an individual capacity; employee suits; consumer

> environmental actions; consumer malpractice actions; consumer and residential real estate, such as landlord-tenant disputes; domestic relations; criminal cases; eminent domain or condemnation; and administrative disputes with government organizations and regulatory agencies, provided, however, that complex tax appeals are eligible to be referred to the Business Court Division. W.Va.T.C.R. 29.04(a)(1)-(3).

8. A party may file a motion to refer a case to the Business Court Division "after the time to answer the complaint has expired." W.Va.T.C.R. 29.06(1)(2).

ARGUMENT

9. As evidenced by the issues raised in the attached Amended Complaint and Answers, this civil action constitutes "Business Litigation" as defined by West Virginia Trial Court Rule 29.04 and should be appropriately resolved by the Business Court Division.

10. The Business Court Division was created to hear precisely this type of complex commercial dispute. This matter involves specialized and complex commercial issues surrounding the parties' rights and obligations. Resolution of this matter will require interpreting and applying the language of the Lease and Guaranty and the subsequently executed subleases, assignments, and other contracts as well as an understanding of the specialized and technical mining equipment and related operations concerning the leased property.

11. Moreover, this matter does not involve any claims excluded from the definition of "Business Litigation" by Rule 29.04(a)(3) of the West Virginia Trial Court Rules.

12. Plaintiffs state that there are no related actions currently pending.

13. As required by West Virginia Trial Court Rule 29.06(1)(1), a copy of the Amended Complaint is attached hereto as Exhibit A, Defendants' Answer to Amended Complaint is attached hereto as Exhibit B, and the docket sheet is attached hereto as Exhibit C.

14. Plaintiffs do not request an expedited review under West Virginia Trial Court Rule 29.06(a)(4). All affected parties may file a memorandum stating their respective positions in accordance with West Virginia Trial Court Rule 29.

CONCLUSION

WHEREFORE, for the forgoing reasons, Plaintiffs respectfully request that the Chief Justice of the West Virginia Supreme Court of Appeals refer this case to the Business Court Division.

Dated: September 2, 2022

SAVANNAH 605, LLC, KINZER BUSINESS REALTY, LTD, and FULTON T. McELROY IRREVOCABLE TRUST,
By Counsel,
/s/ Howard M. Persinger, III
HOWARD M. PERSINGER, III
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CERTIFICATE OF SERVICE

I, Howard M. Persinger, III, hereby certify that on the 2nd day of September, 2022, the foregoing, "Plaintiffs Savannah 605, LLC, Kinzer Business Realty, Ltd. and Fulton T. McElroy Irrevocable Trust's, Motion to Refer Case to the Business Court Division" has been made upon the following interested parties via U.S. Mail, postage prepaid on this the 2nd day of September, 2022, addressed as follows:

Nathan D. Brown, Esq.
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Counsel for Defendants, East Equipment Co., LLC & Gary Rash

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Business Court Division
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Honorable Miki Thompson
Mingo County Circuit Court
Second Avenue
Williamson, WV 25661

Lonnie Hannah, Clerk
Mingo County Circuit Clerk
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